

VSEUS

Economics Gazette

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

[This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.](#)

Macro Overview:

North American markets are ending the week in a **volatile correction mode**, fueled by an instability in the Middle East with a lot of disinformation over conflicting peace terms. Additionally, Big Tech took a big hit following a landmark California verdict that found Facebook and YouTube's algorithms "deliberately addictive", establishing a costly new legal precedent. Simultaneously, the humanitarian emergency in Cuba has reached a breaking point as the American blockade effectively blocks all oil shipments. This may be a direct attempt to force regime change in the short term.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-1 %	-2.76 %
TSX	+1.41 %	-4.15 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.416%	4.386%



by Sebastian Contreras
Research Analyst

Defensive Divergence: Gold, TIPS, and the Shift in Global Reserves?

Overview:

Gold has been on the headline over the last year, as we live in an era of high geopolitical uncertainty conflicts in the Middle East, Eastern Europe and Latin America. Investors' appetite for defensive assets has increased in recent years. Two of the most defensive assets out there are gold and U.S TIPS bonds. **What is the underlying nature of these assets and how are they correlated? Could this correlation be telling us something about a global macro structural change?**

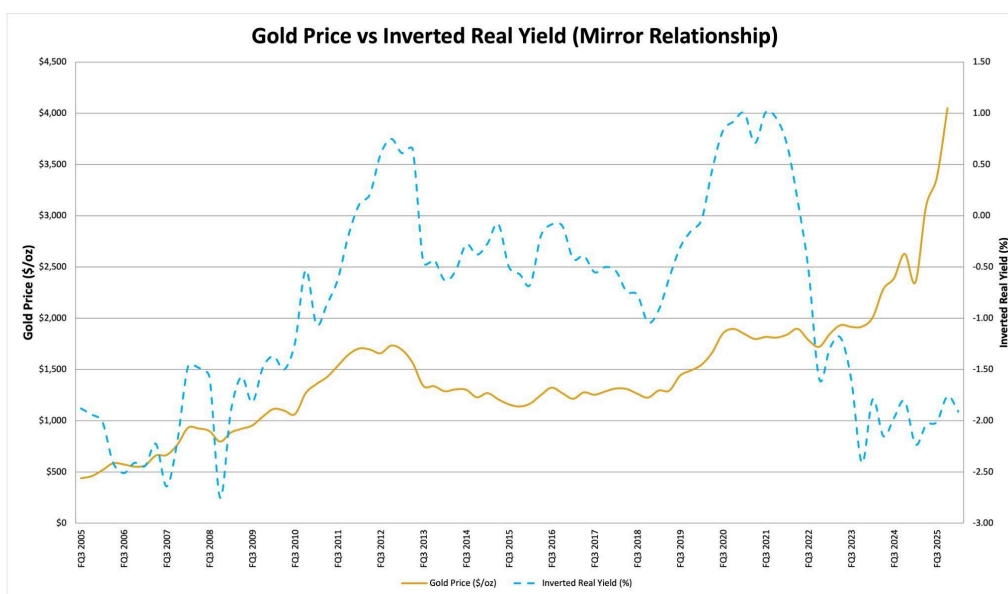
Golden heaven?

Gold is considered as a very important asset in global portfolios. It is the backbone of portfolio performance when the economy is not doing well. Gold has had a historical importance, which is still present in investors' minds. The economic value of gold is hidden in the supply curve. Gold is valuable because its supply curve is highly inelastic (very sticky). What I mean with this, is that we cannot produce more gold very rapidly, even if we want to. This has to do very much with the scarcity of the material and because its extraction requires very big infrastructure projects.

U.S TIPS Bonds:

The U.S TIPS (Treasury Inflation-Protected Securities) Bonds are debt instruments that pay an interest rate which is tied to inflation. What this means is that they promise a real fixed return. The way this works is that the principal grows at the same rate as inflation and the coupons paid every six months are proportional to the principal at this specific time. When the bonds matures, you either get the inflation adjusted principal or the initial principal. It depends on whichever is greater. This means you never get a principal back that is smaller than the initial principal.

Let's examine how these two defensive assets are correlated with each other.



VSEUS Internal creation, 2026. [Source](#)

We can see from the graph that the gold price was following the regular relation from 2005 to 2022. In this case, the relationship between the gold price and the real yield is negative. Real yields are plotted on an inverted axis to highlight the historically strong negative correlation between the two assets prior to 2022. This negative relationship is trying to illustrate the opportunity cost of investing in one of these assets.

If you invest in gold, the opportunity cost of it could be the real yield earned by the U.S TIPS bonds. Both are defensive assets but gold only provides gains by capital appreciation (it yields no income). Let's say the gold price moved from 4000 to 5000 per ounce. Investors see a 25% return on their investment, which only materializes upon sale. On the other hand, the TIPS bond offers a recurring cash flow every 6 months, which could make it a very attractive asset if the interest rate is high enough. The higher the real yield, the higher the opportunity cost of owning gold.

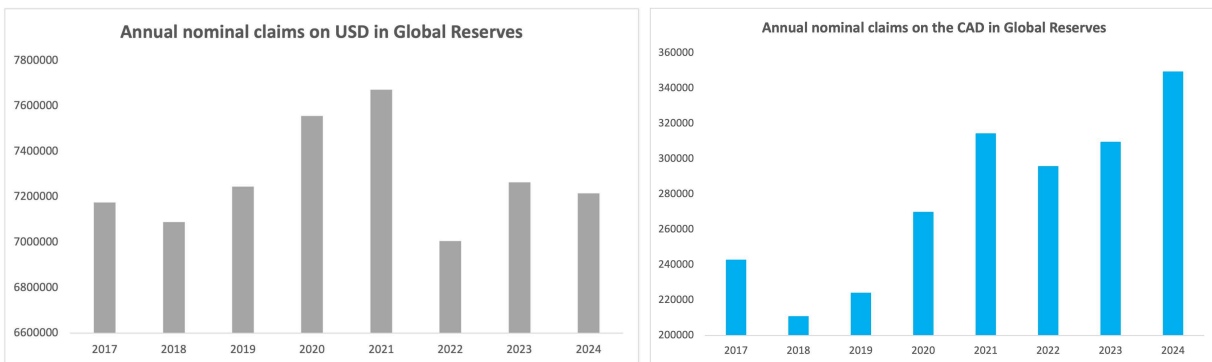
But why do we see a divergence in the relationship in 2022?

The catalyst:

- **The Russia-Ukraine war:** This conflict has taught global central banks that using U.S assets as reserves is not a good strategy. The moment you violate the "U.S. national interest", your assets may be frozen and it will not permit you to defend yourself. In other words, in times of war, U.S assets may not buy you more weapons, resources, or solutions. But gold could! Gold is a global and historical source of value, which appreciates during unstable times.

Reflection:

What this means is that the opportunity cost of holding gold is discounted by the uncertainty risk of the U.S freezing your assets. It is important to highlight that central banks' demand for gold is inelastic, as they buy gold to fulfill a national interest agenda and not for the sake of getting a profit out of the transaction. This has pushed central banks around the world to start accumulating gold and moving away from U.S assets. From 2021 to 2022, USD reserves decreased by almost 9% in a single year.



VSEUS Internal creation, 2026. [Source](#)

However, this does not mean central banks are only accumulating gold. **Central banks are returning to behave like they have historically had, which means holding a diversified portfolio of assets and foreign currencies.** Middle powers like Canada have experienced a large increase in their currency adoption into central banks reserves. Since 2022, the reserves claimed on CAD have increased 18%. Canada offers strong rule-of-law protection and commodity backing, without the geopolitical "weaponization" risk of the USD.



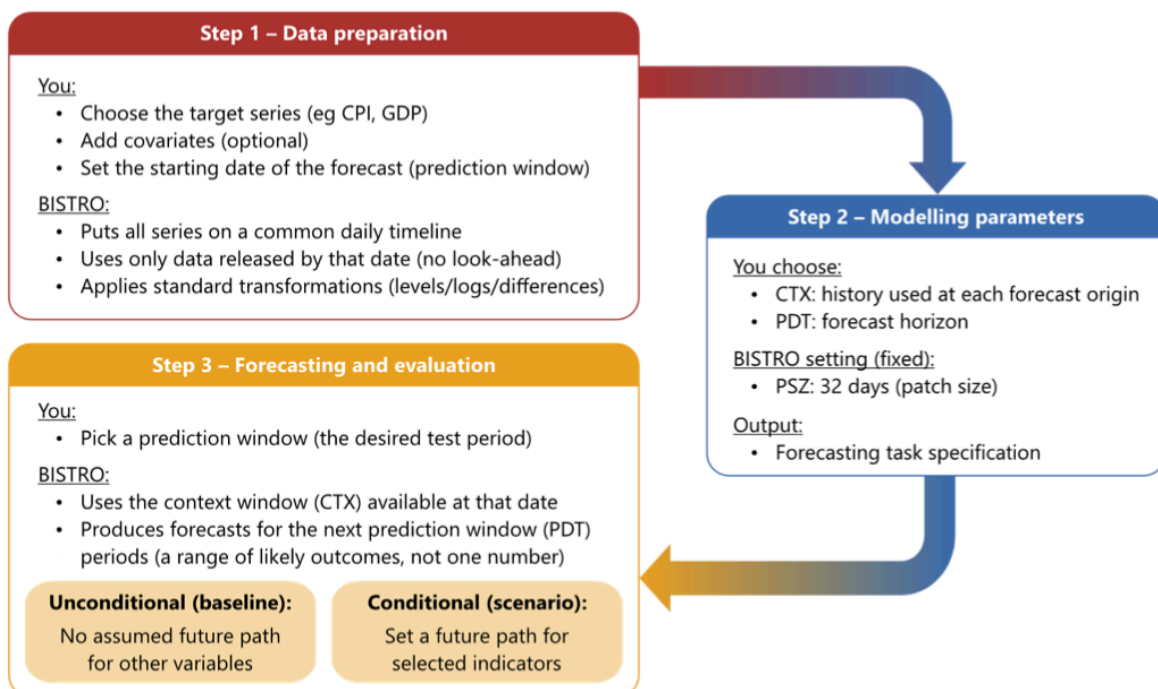
by Goli Eshtiaghi
Research Analyst

BISTRO: Now Serving Macroeconomic Forecasting on the Menu

Article: BISTRO: a general purpose oracle for macroeconomic time series by Koyuncu, Kwon, Lombardi, Perez-Cruz and Shin published March 16th, 2026 by Bank for International Settlements (BIS). You can find the article [here](#) and the scripts on [GitHub](#).

Overview

Using time series data for macroeconomic forecasting is essential to economics, especially central banking and monetary policy. Currently, time-series models are built and tailored to the specific question at hand, implemented within the context and variables that pertain to the task. The BIS Time-Series Regression Oracle (BISTRO) is essentially Chat-GPT for central banking. It is a general purpose model that can be used as a foundation for a variety of forecasts and scenarios.

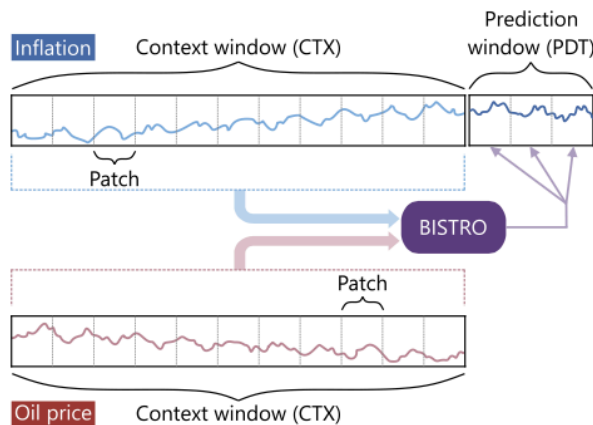


Source: BISTRO: a general purpose oracle for macroeconomic time series by Koyuncu et al.

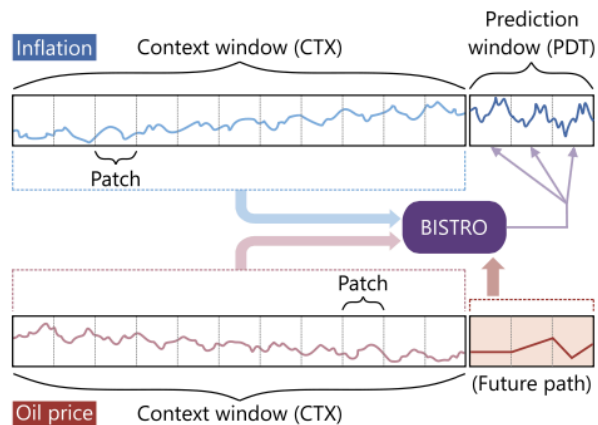
Key Takeaways

- The model operates very much in the same way that Large Language Models (LLMs) do. But **instead of guessing the next word, it is guessing the next realisation of a macroeconomic time-series.**
- These models have what is known as a **zero-shot capability**. The same way that the Generative Pretrained Transformer (GPT) can do a variety of tasks even though it was originally trained to predict the next word, BISTRO acts as a **foundational model where it can perform forecasting for a task with no explicit training.**
- BISTRO is a foundational model because it is **trained with a wider set of data which may not be directly related to the forecasting** and neither does it impose a functional form onto the data.

A. Unconditional (baseline) forecast



B. Conditional (scenario) forecast



Source: BISTRO: a general purpose oracle for macroeconomic time series by Koyuncu et al.

- BISTRO is designed to be easily accessible. The user decides the variables to be forecasted, the window of forecasting as well as any covariates such as trade uncertainty and BISTRO handles the rest automatically by **conducting variable transformation, imputing missing values, determining the number of past observations used for each prediction, and calculating errors at every step.**
- The authors apply BISTRO in a central banking context: forecasting inflation in the short and medium term. They compare their results with a benchmark Vector Autoregressive (VAR) model and find that **in many cases BISTRO outperforms the benchmark in its forecasts.** Models such as BISTRO can make a huge difference in the time and resources required in economic forecasting, making the process more straightforward and efficient.